

Mind the Gap: Why Inequality Perceptions Matter for Social Policy

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Background

- Income inequality as **vibrant problem in many European countries** (see Figure 1)
- Support of the people** is essential to introduce redistributive policies
- Perceived and actual income distribution may **vary strongly**¹
- Problem: The **support** for redistributive policies is **currently rather low** (see Figure 2)

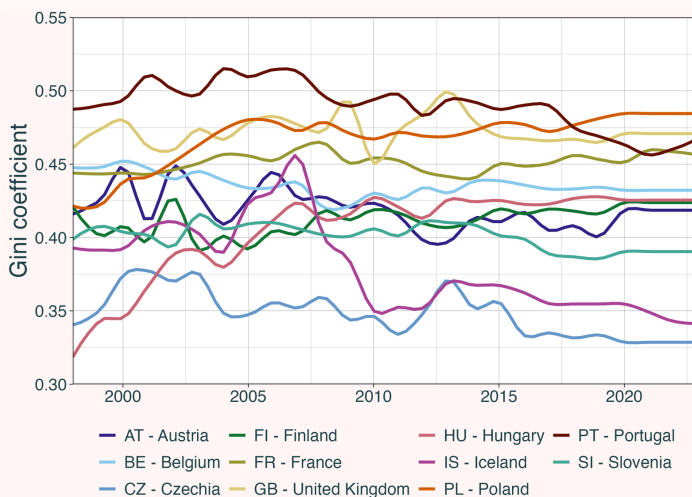


Figure 1: Gini coefficient for different european countries (Data from: World Inequality Database²)
A Gini coefficient of 1 indicates maximum income inequality, whereas a coefficient of 0 indicates perfect equality

Key Takeaways:

- Higher perceived income inequality is associated with higher support for spending on social assistance for the poor in most countries
- Income and meritocratic beliefs are negatively associated with support for such policies
- The strength of the association varies from country to country
- The effect is not present in the country with the lowest income inequality in the data set

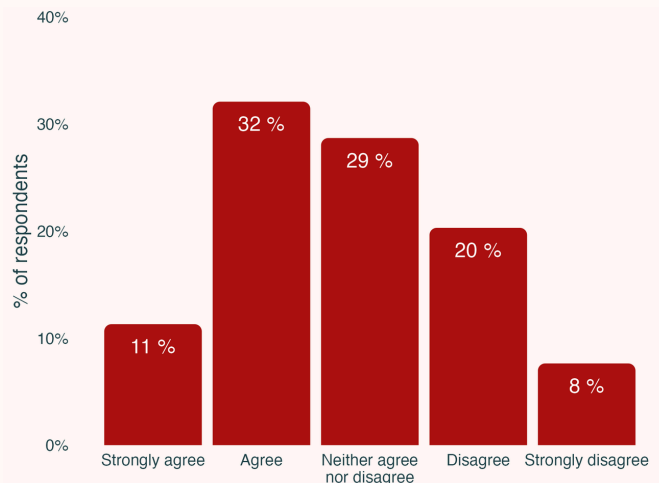


Figure 2: The state should increase the spending on social assistance on the poor

Method

- Data from **CRONOS3** waves 1³ and 2⁴
- Missing values removed and weights applied ($N = 7207$)
- Analysis on systematic non-response and missing values conducted
- We applied **binary regressions** per country on **whether the change in perceived income inequality influences support for social assistance for the poor**
- We conducted the analysis in R and the reproduction code is available on [GitHub](#)

¹ Cruces, G., Perez-Truglia, R., & Tetaz, M. (2013). Biased perceptions of income distribution and preferences for redistribution: Evidence from a survey experiment. *Journal of Public Economics*, 98, 100-112. <http://dx.doi.org/10.1016/j.jpubeco.2012.10.009>

² Alvaredo, F., Atkinson, A. B., Piketty, T., & Saez, E. (2024). World inequality database. WID.world. <http://wid.world/data>

³ European Social Survey European Research Infrastructure (ESS ERIC). (2025). CRONOS3 Wave 1 edition 1.2. https://doi.org/10.21338/cron3w1e01_2

⁴ European Social Survey European Research Infrastructure (ESS ERIC). (2025). CRONOS3 Wave 2 edition 1.2. https://doi.org/10.21338/cron3w2e01_2

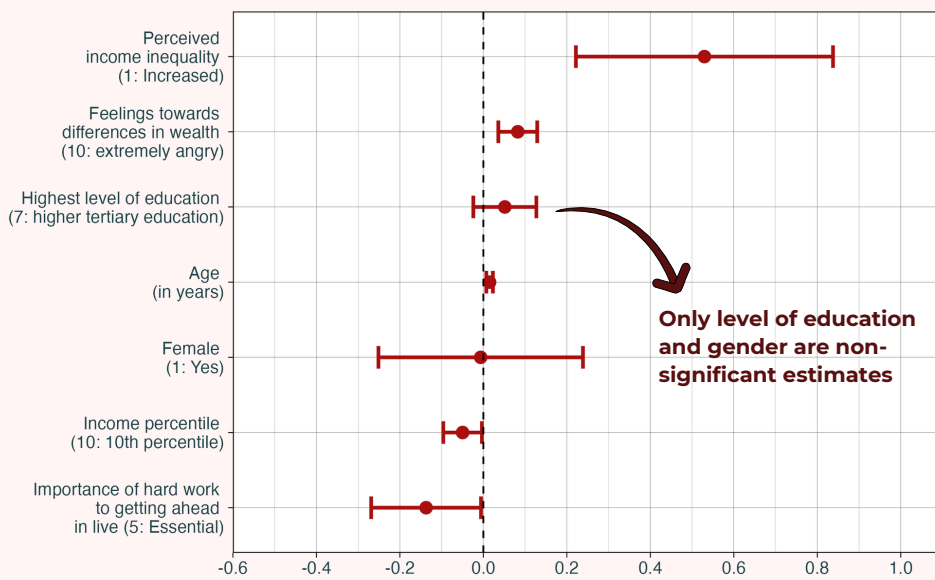


Figure 3: Regression coefficients for binary regressions on the support for social assistance for all countries in the sample (N = 7207)

🔍 Is perceiving an increase in income inequality associated with greater support for expanding social-assistance spending to the poor?

⚡ Rising perceived income inequality is associated with a higher support for social assistance for the poor - even after controlling for various covariates and possible confounders.

At the same time, rising income and meritocratic beliefs are negatively associated with policy support.

🔍 Is the effect of perceived income inequality robust across different countries?

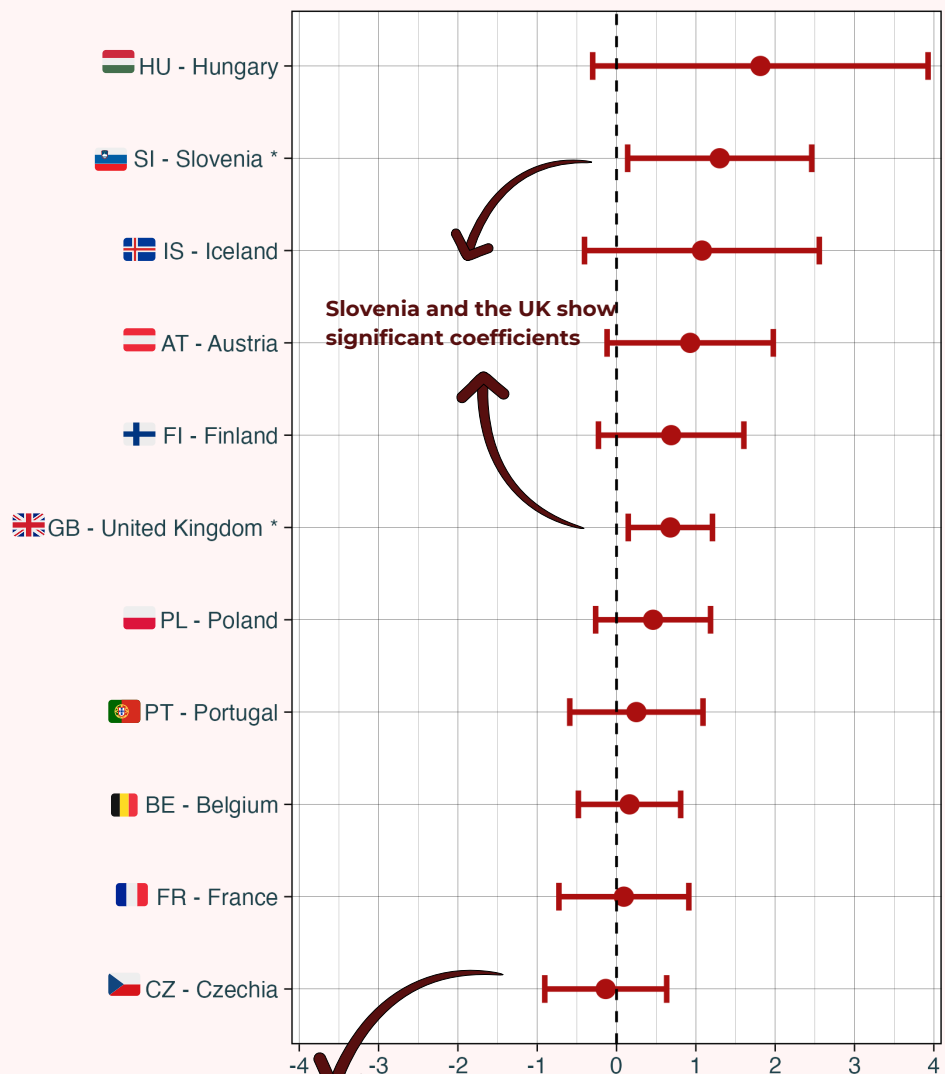
Figure 4 indicates that, for most countries, **rising perceived income inequality is associated with rising support for social assistance** on the poor.

The only country with a negative coefficient is **Czechia** - the country in the sample with the **lowest income inequality in 2023** (see Figure 1) .

⚡ **Rising awareness on perceived income inequality might increase the support on policies benefiting the poor.**

⚠️ **Important limitation:** observational design and methods do not allow causal inference.

📄 **Future directions:** factors influencing the perceived income inequality (e.g., contact with different media, political beliefs, ...)



All countries but Czechia show positive coefficients

Figure 4: Regression coefficients for binary regressions on the support for social assistance including all covariates and control variables.

* Significant coefficients ($p < 0.05$)